



United States
Attorney's Office
Southern District of California



Chula Vista Man Pleads Guilty in \$51 Million Medicare Fraud Scheme

Tuesday, May 27, 2025

For Immediate Release

U.S. Attorney's Office, Southern District of California

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SAN DIEGO – Chula Vista resident and businessowner Fernando Valenzuela Ayub pleaded guilty in federal court today, admitting that he conspired with others to launder millions of dollars of health care fraud proceeds and paid unlawful kickbacks.

According to his plea agreement, Valenzuela and co-conspirators owned and operated multiple durable medical equipment (DME) companies, which sold orthotics – including back, wrist, and knee braces – to Medicare beneficiaries. Valenzuela admitted that in operating the DME companies, he and co-conspirators paid unlawful kickback payments to sham marketing companies who provided bogus prescriptions for DME. In total, Valenzuela paid \$3.7 million in kickbacks.

Valenzuela admitted that he used his DME companies to submit fraudulent claims to Medicare. Once Valenzuela's DME companies were suspended from billing Medicare, Valenzuela conspired to put DME companies in the names of nominee owners while he maintained control of the companies and the monies received from Medicare. In total, Valenzuela billed Medicare approximately \$51 million and was paid approximately \$20 million, and ultimately laundered at least \$14 million dollars of Medicare proceeds. As part of his guilty plea, Valenzuela agreed to forfeit \$7,101,320.

Valenzuela's sentencing is scheduled for August 15, 2025.

The case is being prosecuted by Assistant U.S. Attorney Blanca Quintero of the Southern District of California.

DEFENDANT

Case Number 25cr2488-DMS

Fernando Valenzuela Ayub

Age: 48

Chula Vista, CA

SUMMARY OF CHARGES

Money Laundering Conspiracy – Title 18, U.S.C., Section 1956(h)

Maximum penalty: Twenty years in prison and \$500,000 fine

INVESTIGATING AGENCIES

Federal Bureau of Investigation

U.S. Department of Health and Human Services Office of Inspector General (HHS-OIG)

*The charges and allegations contained in an indictment or complaint are merely accusations, and the defendants are considered innocent unless and until proven guilty.

Contact

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